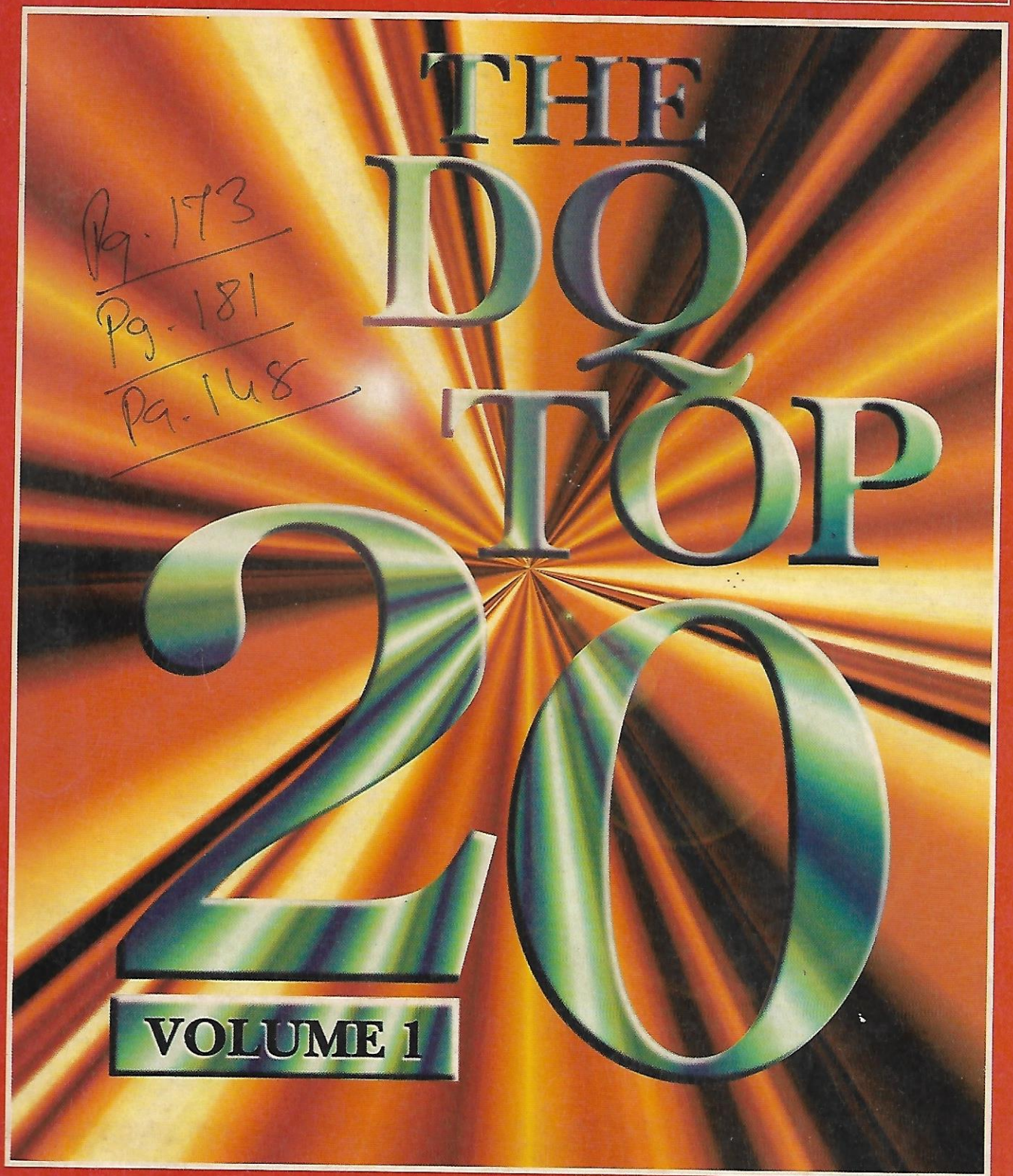
DATAQUEST

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ATD

Backward integration will have to precede search for newer markets if the company intends to remain in the fray.

Out Of Breath

A tough market and some internal rethinking has put the brakes on this sprinter.

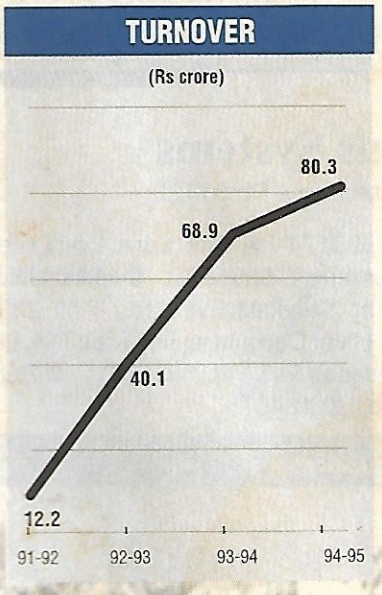
FACT SHEET

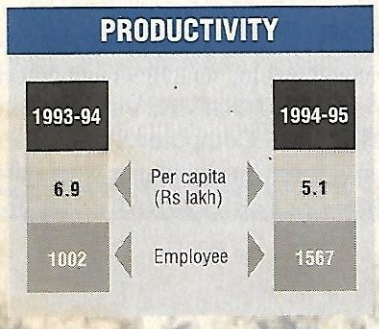
Year of Startup: 1986
Products/Services: Winchester Head Stacks, Head Gimbal Assembly
CEO: M L Tandon
Employees: 1567
Head Office: Unit No 59, SDF-II, SEEPZ, Andheri (E), Bombay 400096
Tel: 8218706
Fax: 8378176
Branch Offices: Nil

Another feather in the hat of the Tandon group of companies is the Winchester head stack exporter Advance Technology Devices (ATD). This Bombay-based company has exited the Top 20 club to find rest in the Next 30 ranks with an aggregate growth of 17 percent as compared to 72 percent last year. ATD has been supplying these components to the export market, which has readily absorbed all the output that the company can produce. Its plant at SEEPZ has all the modern facilities to bring out these stacks as well as the head gimbal assembly. However, the company relies only on imported raw material to manufacture these products. In India the company has been supplying wholly to the private sector. But in spite of this, the net off-take here is only 5 percent of the total revenue. There has been a tardy increase of 16 percent in the exports revenue.

Quality control standards are enforced at all levels of the company's plant as the company strives to make products of world class quality. And the expertise of its workers and engineers leverages on the final packaged item. People are accepted as an important and integral resource of the company. Also, in order to make the production and supply more international class, ATD has recruited a lot of expert manpower in the last year.

Since most of the raw material is sourced from the East Asian countries that have expertise in this area, all that the company does is to assemble them and resell it. In such a scenario, it becomes even more imperative for ATD to do a good job on its shop floor. But with the slowing down of the export potential in this segment as a whole, the energies of this company may have to be redirected to getting into some original R&D to get the material for the head stacks made within the country. In this way the company can increase its profitability and also ensure quality. It can also foray into the domestic market and consolidate itself in the Indian IT scenario. Although there are not too many people in the hardware export market who really believe in total backward integration, getting on to this side of the fence may mean timely success for this venture. And especially in view of the fact that the company is not growing as aggressively as it had in the past, the personnel at the company should put on its thinking hat and roll up its sleeves.





Tancom Electronics

With growth tapering off, newer products and extensive aggression in selling can make it possible for the company have its magic spell again

From Leaps To Hops

A quiet time awaits this ace of exporters of Winchester head stacks during the present year.

FACT SHEET:

Year of Startup: 1982
Products/Services: Winchester Head Stacks, Head Gimbal Assembly, Voice Coils
CEO: ML Tandon
Employees: 1505
Head Office: Unit No 60, SDF II, SEEPZ, Andheri (E), Bombay 400096
Tel: 8718706
Fax0: 8378176

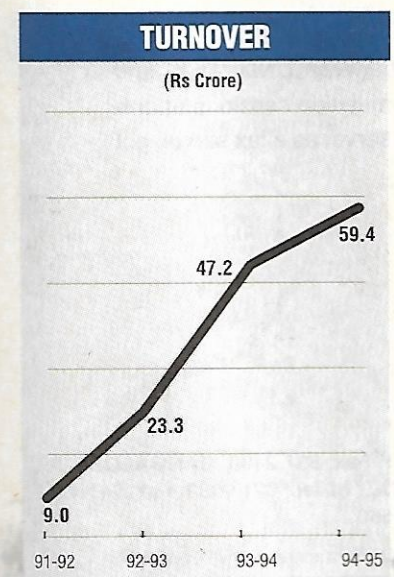
At 26 percent, Tancom Electronics' growth in 1994-95 may seem like having come down quite considerably in the face of last year's growth of more than 100 percent. This shows that this manufacturer of behind-the-scene hardware—Winchester head stacks and gimbal assembly—has now come to a point of rest. But the fact that the Rs 59.42 crore company has been able to continue with its membership in the Next 30 club demonstrates that the standing it enjoys in the industry is still quite enviable.

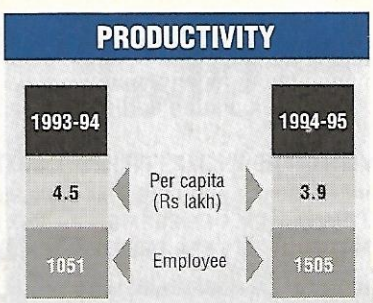
As an exporter of these devices, Tancom has been investing quite heavily all along its way. And exporting 100 percent of its output is quite a feat. Add to this the growing competitiveness in the international market for these products, and the message comes through crystal clear. The company has become more profitable and cost effective. This is evident from the fact that although the net number of its exported products has come down by 28 percent, yet earnings have gone up by nearly the same ratio.

The Tandon group is mainly into manufacturing these products over which they have a monopoly as far as the exports are concerned. Although this feature may be seen to be advantageous to any company, yet there is a lot that is required to be done from time to time in order to maintain leadership internationally. It may be recalled that the countries of East Asia had, until recently, an unyielding hold on the market for these products. It is only by succeeding in meeting these people at a same level and not compromising on quality at any time, that Tancom had been able to get such a name for itself.

The plants of Tancom are located at SEEPZ, Bombay and it is here that the company churns out both products and the R&D that precedes them. The international market changes without notice and this makes the obsession with quality a sine qua non for getting there first and staying at the top.

As far as the future plans of Tancom go, there are proposals to get an extensive R&D facility underway soon. The company may also look at other markets and in doing so, could explore the option of getting the raw materials made here in India itself. This has become necessary today, since the advantages of a government aided export set-up will also have to be considered in the face of burgeoning competition and the demands of the cross border marketplace.





Ultra Tek Devices Ltd

Year of Startup: 1985
Products/Services: SMPS, Converters, AC Adapters
Technical Collaboration: Fairplay Group Inc., USA
Financial Collaboration: Fairplay Group Inc., USA
Employees: *2190*
Head Office: Unit No. 72, SDF-III, SEEPZ, Andheri (E), Bombay 400096
Tel: 8218706
Fax: 8378176
Branch Offices: 1



CEO: ML Tandon

Stabilized Returns

Zeroing-in on the route of monopoly and quality has made this low-profile company a strong survivor in a tough world.

For the Bombay-based Ultra Tek Devices Ltd (UTDL) growth has slowed down. The company got into the Top 20 ranks last year for the first time and has managed to remain there with singular tenacity. The sights that the company had set on the turnover for 1994-95 have been proven to be rather pre-mature, if not far fetched. Falling well short of the touted Rs 130 crore target for this year. Nonetheless the company has delivered itself with flying colors on the promise of quality control and schedules.

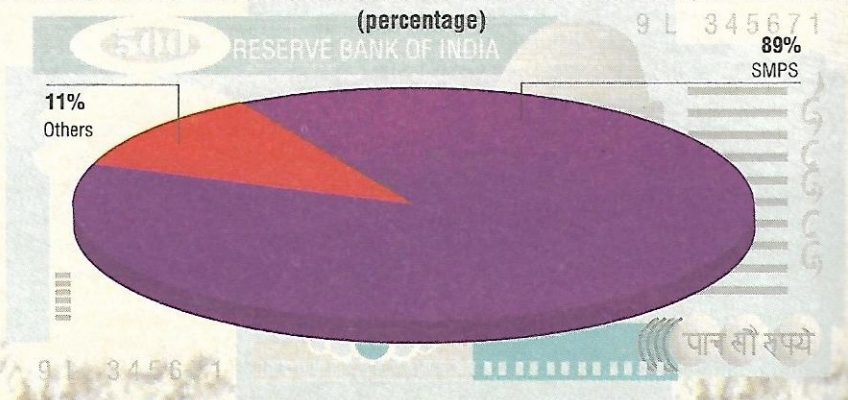
The company is more or less a dedicated SMPS (Switched Mode Power Supply) manufacturer and exports 100 percent of its output. But this year the focus of this Tandon group organization underwent a slight change. The home market was recognized as one having a potential for exploitation and the entrepreneurial energies of the management of UTDL were brought around to gauge this fact. As a result, the company has ventured into the areas of PC manufacturing. Although the exact details of system-wise sales are not available, yet the nascent venture has paid off, albeit modestly. Last year, the domestic sales of SMPS was a very minor percentage of the total turnover. This year, there has hardly been any sales of SMPS in the Indian market, while the baton for this sector has been taken by PCs. The percentage of these is about 10 percent.

Indian exports in the IT sector have been competitive all along in the international market largely due to the advantages that the Indian Government imparts to these ventures. However, a strong product has to match with an equally strong

TURNOVER

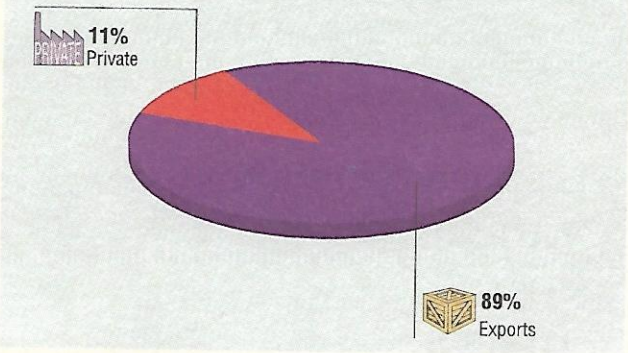


REVENUE BREAK-UP



SECTOR BREAK-UP

(percentage)



Manufacturing and R&D facilities will get better focussed in terms of investments and planning in the years to come.

service backups also. No longer a preserve of a select few, the export processing zones are being thrown open to many more people. In order to get along advantageously on such given conditions, UTDL has opened another manufacturing division in the Noida Electronic Export Processing Zone (NEEPZ) in addition to the already existing one at SEEPZ, Bombay. But the pinch is already being felt. As compared to last year, the sales of SMPSs have increased by 3 percent but the aggregate revenue has come down. This may be attributable to the strong competition that other international companies may be offering and also to the strategy of the company to get out and face the competition on terms of high quality and lower prices. One may say that the best has yet to come. In fact this is one of the biggest challenges that the post-liberalized market has thrown at the Indian companies, specially those that operate in the IT arena. Not only do these companies have to operate at the level of cost-effective processes, they also have to contend with the foreign competeition that comes in with its product which are cheaper because of the volumes that these international vendors operate at.



The company has scored well in capacity utilization by adhering to international quality standards. As a result, the company has become a 100 percent subsidiary of the US-based company, Golden System Inc. This has helped in getting good and continuous orders. Further, it has tied up with the Fairplay Group.

Investing in people has also enabled the company to remain in the elite Top 20 club. It is quite evident that the increase in the revenues cannot really be effected without manpower quality improvement. But the productivity has declined by 25 percent. Today, the hardware industry in India is a strong player in the international IT arena. With a cheap manpower and supportive industrial climate to boost it, all players in this segment have been either seen strong growth, or, because of a lack in infrastructural support, fallen by the wayside. In such an environment, UTDL's performance is worthy of a pat on the back. What brings more credit to the company is the fact that, the advantage of technology has not been allowed to go waste, in that the company has been in the forefront of the cost-effective and optimum utilization of IT in order to stramline its processes.

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With continuous upgrades in manufacturing facilities, the company has kept itself abreast of the standards that are being demanded in the international markets. To this end, the synergies of the corporate workforce have been utilized to gain a leverage in the market. In future, the company may decide to tackle the domestic market also. To do this will require not only a thorough analysis of the ground realities but also the benefits that will accrue by going in for a line extension. If the PC venture is anything to go by, perhaps there are handsome returns in store for the company if it does decide to take this step in the near or even distant future.